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Growing Incredible Managers:

Business Models for Innovation and building accountability

Prepared by

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Building Accountability To Bring Your Business Model To Life

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Responsibility
Accountability
Commitment
Engagement
…

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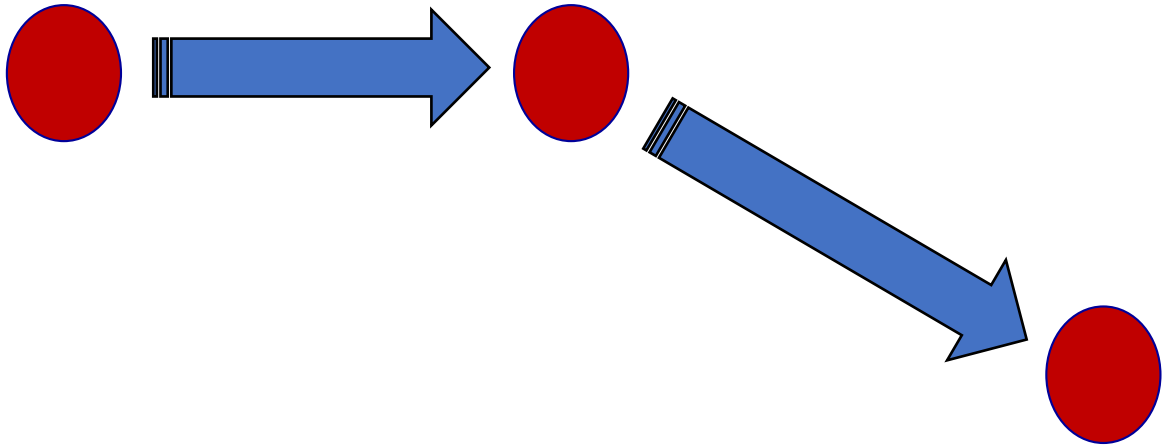
I know what to do

I can do it

I will be rewarded



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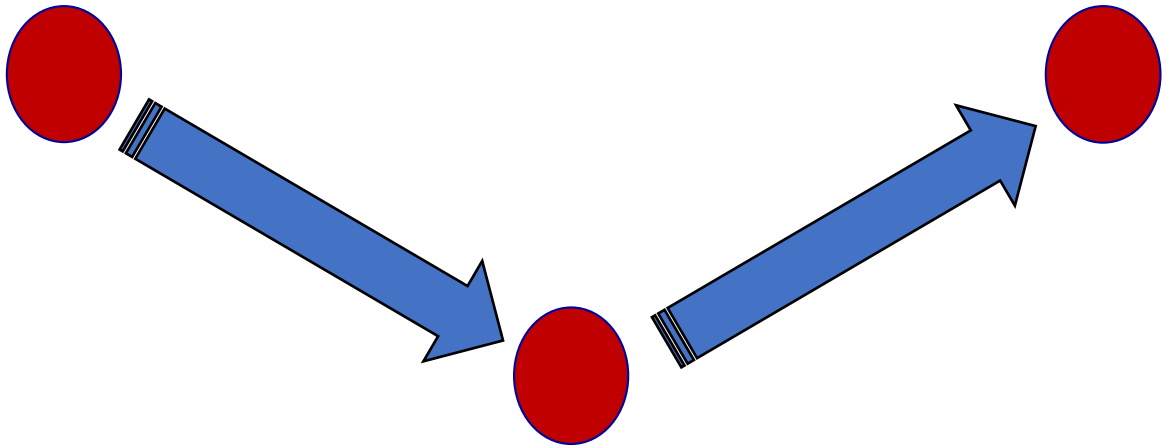

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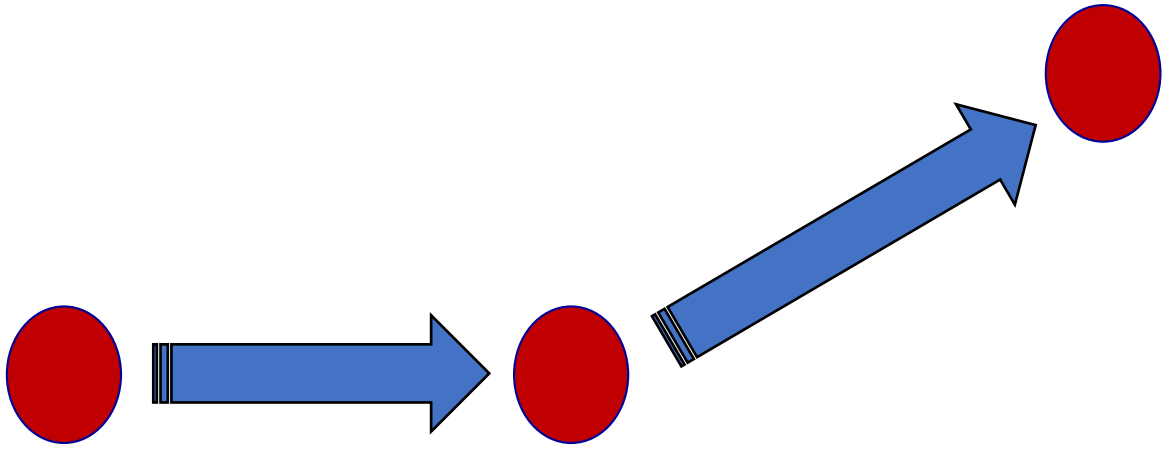

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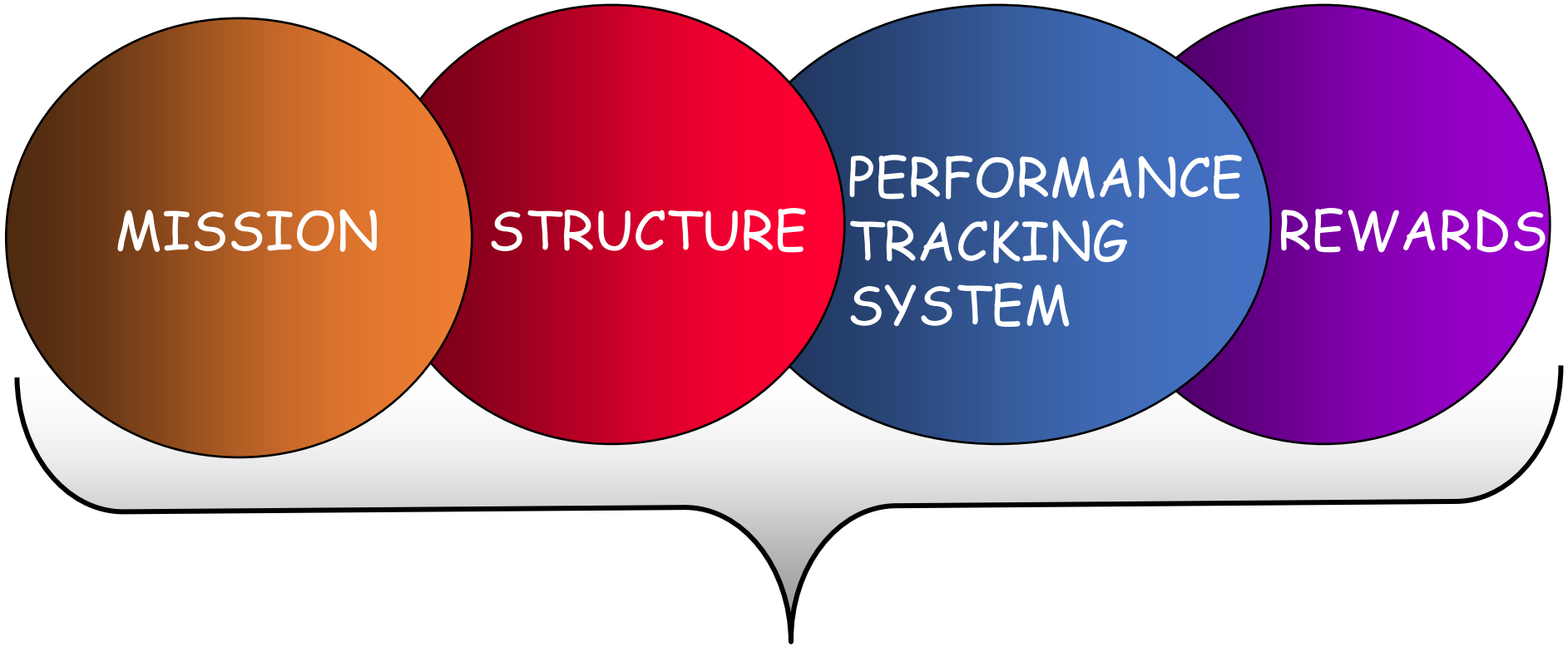

ACCOUNTABILITY

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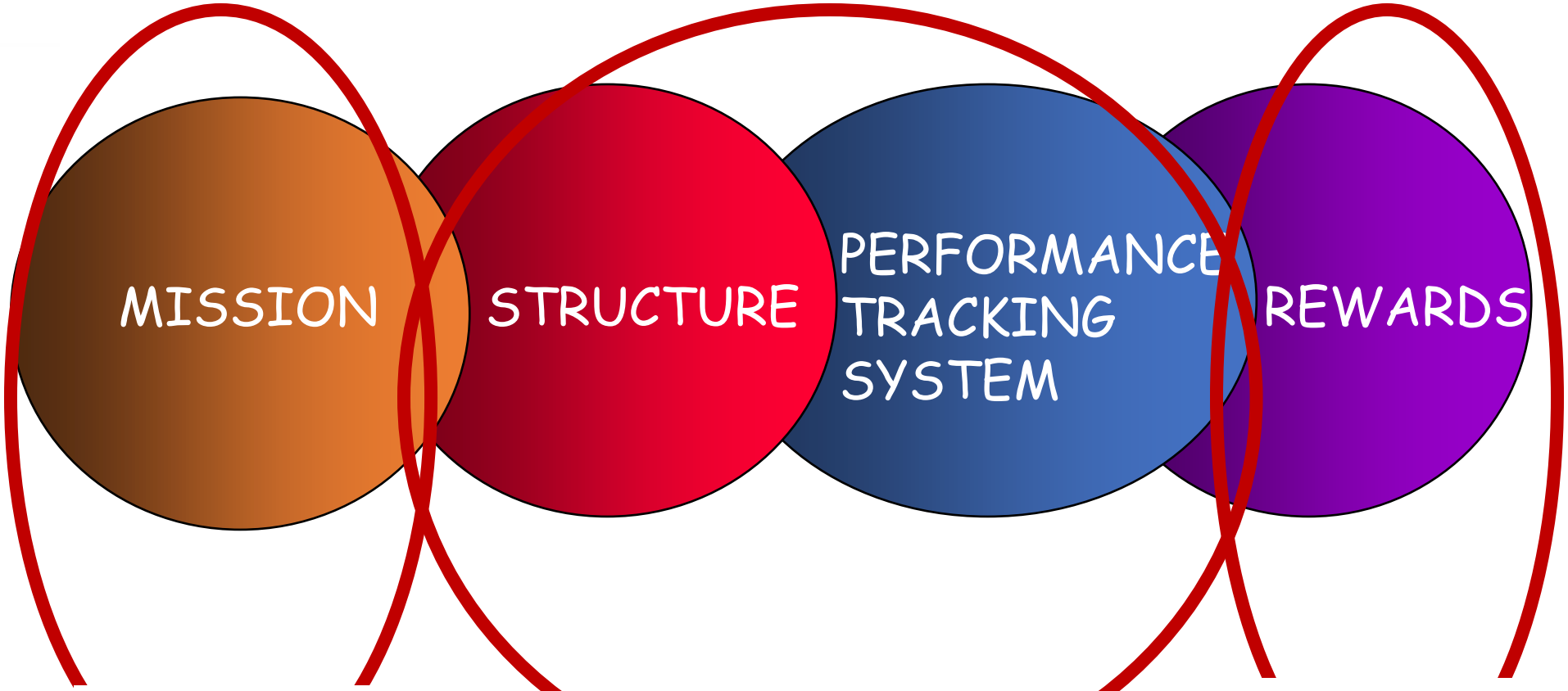

I know what to do

I can do it

I will be rewarded

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Performance Tracking

- Clarify tasks
- Set performance levels
- Match authority with task requirements

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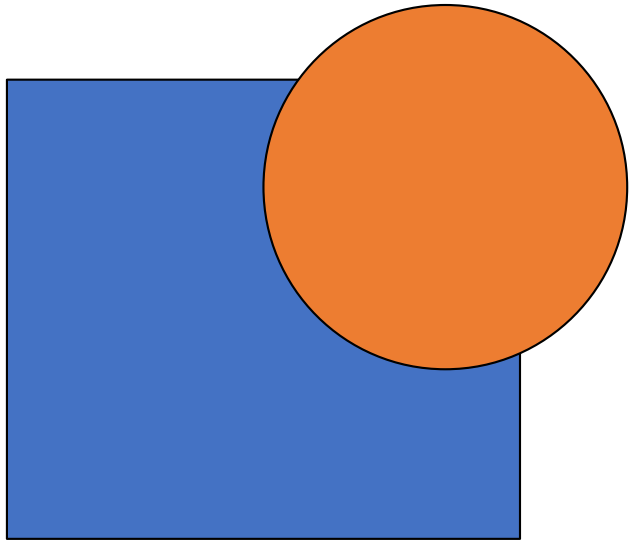
Performance Tracking

- Clarify tasks
- Set performance levels
- Match authority with task requirements



What can I spend?
What do I control?
What can I influence?

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Goals and Objectives

	Objectives (What) - ("P")	Corporate Goal/Purpose (Why) - ("E")	Measurement / Verification (How) - ("A")	Deficient	Below Expected	Expected	Above Expected	Outstanding	Action Plan						Weight
									What and How	KPI/Verification	By When	Cost	Budgeted	Responsibility (Who) - ("I")	
P Functional	Deterministic Objective:	IC-1	Vital Sign:						1 -					Lead: *Your Name*	
									2 -					Support Team:	
									3 -						
									4 -						
	Constraint Objective:	0	By When						5 -						
									6 -						
			Checked by Who						7 -						
									8 -						

	TOTAL	JANUARY	FEBRUARY	MARCH	APRIL	MAY	JUNE	JULY	AUGUST	SEPTEMBER	OCTOBER	NOVEMBER	DECEMBER	TOTAL
Goal														
Actual														

- **Short term effective** - objectives that ***provide value***. Such objectives could be closing a pending contract, renewing a line of credit, surpassing a sales quota, etc.

- **Short term efficiency**: objectives that ***increase efficiency*** in the ***short term***. These objectives will include implementation of routines, processes and systems, such as a common expense reports, review of financial data on timely bases, performance evaluation of personnel, etc.

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Types of Objectives

	Objectives (What) - ("P")	Corporate Goal/Purpose (Why) - ("E")	Measurement / Verification (How) - ("A")	Deficient	Below Expected	Expected	Above Expected	Outstanding	Action Plan: What and How	KPI/Verification	By When	Cost	Budgeted	Responsibility (Who) - ("I")	Weight
P Functional	Deterministic Objective: Constraint Objective:	IC-1 0	Vital Sign: By When Checked by Who											Lead: *Your Name* Support Team:	

	TOTAL	JANUARY	FEBRUARY	MARCH	APRIL	MAY	JUNE	JULY	AUGUST	SEPTEMBER	OCTOBER	NOVEMBER	DECEMBER	TOTAL
Goal														
Actual														

- **Long term effectiveness:** Developmental objectives that focus on creating something new or a change. These objectives require creativity and risk taking. objectives will include product development, entering new markets, design of a new system or process, research, etc.

- **Long term efficiency:** Objectives that will promote team building and alignment within the organization. Objectives in this category will include personnel development and training, staff outings, internal promotion of individuals, etc.

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	Objectives (What) -	Corporate Goal/Purpose (Why) -	Measurement / Verification (How) -	Deficient	Below Expected	Expected	Above Expected	Outstanding	Action Plan					
									What and How	KPI/Verification	By When	Cost	Budgeted	Responsibility (Who) - ("I")
Functional	Deterministic Objective:	IC-1	Vital Sign:						1 -					Lead:
									2 -					*Your Name*
									3 -					Support Team:
									4 -					
	Constraint Objective:	0	By When						5 -					
									6 -					
			Checked by Who						7 -					
									8 -					

	TOTAL	JANUARY	FEBRUARY	MARCH	APRIL	MAY	JUNE	JULY	AUGUST	SEPTEMBER	OCTOBER	NOVEMBER	DECEMBER	TOTAL
Goal														
Actual														

Goals & Objectives

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A SIMPLE EXAMPLE

Note that the accountability is superimposed on the color coded organizational chart

CEO - Roll Up

Green	
Inflows:	
Total	-
Outflows:	
Total	-
Cont. to S.H.	-

Computers

Green	
Inflows:	
Total	-
Outflows:	
Total	-
Cont. to the CEO	-

Printers

Green	
Inflows:	
Total	-
Outflows:	
Charges from Mfg.	
Total	-
Cont. to the CEO	-

Plant

Yellow	
Inflows:	
Total	-
Outflows:	
Total	-
Flow to the CEO	-

Corporate Administration

Red	
Inflows:	
Total	-
Outflows:	
Total	-
Cost to the CEO	-

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STEP 1

- The green profit centers inform the plant of the quantity of products to manufacture (forecast).

- The Plant (service center) estimates the costs and negotiates (with the green profit centers) a transfer price per unit based on the number of units.

Result

Computers: 5000 units @ $500/unit.
Printers: 5000 units @ $300/unit.

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A SIMPLE EXAMPLE

Inflows:	
Total	-
Outflows:	
Total	-
Cont. to S.H.	-

Computers — Green

Inflows:	
Total	-
Outflows:	
Charges from Plant	2,500
Total	2,500
Cont. to the CEO	(2,500)

Printers — Green

Inflows:	
Total	
Outflows:	
Charges from Plant	1,500
Total	1,500
Cont. to the CEO	(1,500)

Plant — Yellow

Inflows:	
Charges to Computers	2,500
Charges to Printers	1,500
Total	4,000
Outflows:	
Cost of Material	2,500
Cost of Labor	1,000
Cost of Overhead	500
Total	4,000
Flow to the CEO	0

Corporate Administration — Red

Inflows:	
Total	-
Outflows:	
Total	-
Cost to the CEO	-

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STEP 2

- The profit center determines the revenue from the sale of the products and the center's operating costs.

Computers: 5000 units @ $1,000/unit.
Printers 5000 units @ $600/unit.

- The Corporate Administration Excellence Center submits a proposed budget to support the profit center's administrative needs.

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A SIMPLE EXAMPLE

CEO - Roll Up

Green	
Inflows:	
Total	-
Outflows:	
Total	-
Cont. to S.H.	-

Computers

Green	
Inflows:	
Revenue from Sales	5,000
Total	5,000
Outflows:	
Charges from Plant	2,500
Cost of Ops	1,000
Total	3,500
Cont. to the CEO	1,500

Printers

Green	
Inflows:	
Revenue from Sales	3,000
Total	3,000
Outflows:	
Charges from Plant	1,500
Cost of Ops	800
Total	2,300
Cont. to the CEO	700

Plant

Yellow	
Inflows:	
Charges to Computers	2,500
Charges to Printers	1,500
Total	4,000
Outflows:	
Cost of Material	2,500
Cost of Labor	1,000
Cost of Overhead	500
Total	4,000
Flow to the CEO	0

Corporate Administration

Red	
Inflows:	
Total	-
Outflows:	
Cost of Admin.	900
Total	900
Cost to the CEO	(900)

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STEP 3

- The profit centers stretch the excellence center's budget and establish the level of support desired. The result is rolled up to the CEO.

- The profit centers are stretched by the CEO with results rolled up to the CEO.

- The CEO determines the administrative costs for the office of the CEO.

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A SIMPLE EXAMPLE

CEO - Roll Up

Green	
Inflows:	
Cont. fm Computers	1,500
Cont. fm Printers	700
Total	2,200
Outflows:	
Flow from Plant	0
Cost from Corp. Admin	900
Cost of Office of CEO	500
Total	1,400
Cont. to Sh.	800

Computers

Green	
Inflows:	
Revenue from Sales	5,000
Total	5,000
Outflows:	
Charges from Plant	2,500
Cost of Ops	1,000
Total	3,500
Cont. to the CEO	1,500

Printers

Green	
Inflows:	
Revenue from Sales	3,000
Total	3,000
Outflows:	
Charges from Plant	1,500
Cost of Ops	800
Total	2,300
Cont. to the CEO	700

Plant

Yellow	
Charges to Computers	2,500
Charges to Printers	1,500
Total	4,000
Outflows:	
Cost of Material	2,500
Cost of Labor	1,000
Cost of Overhead	500
Total	4,000
Flow to the CEO	0

Corporate Administration

Red	
Inflows:	
Total	-
Outflows:	
Cost of Admin.	900
Total	900
Cost to the CEO	(900)

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STEP 4

- Once the profit centers have agreed on the budget and level of service of the excellence center they will determine how to share the costs of the excellence center, the flow from the plant and the cost of the CEO's office.

- This sharing process results in a "roughly right" net profitability measure for the profit centers

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A SIMPLE EXAMPLE

CEO - Roll Up

Green	
Inflows:	
Cont. fm Computers	1,500
Cont. fm Printers	700
Total	2,200
Outflows:	
Flow from Plant	0
Cost from Corp. Admir	900
Cost of Office of CEO	500
Total	1,400
Cont. to S.H.	8[illegible]0

Computers

Green		
Inflows:		
Revenue from Sales		5,000
Total		5,000
Outflows:		
Charges from Plant		2,500
Cost of Ops		1,000
Total		3,500
Cont. to the CEO		1,500
Sharing	70%	980
Net Profitability		520

Printers

Green		
Inflows		
Reve[illegible]ue from Sales		3,0[illegible]
Total		3,0[illegible]
[illegible]utflows:		
Charges from Plant		1,50[illegible]
Cost of Ops		80[illegible]
Total		2,30[illegible]
Cont. to the CEO		70[illegible]
Sharing	30%	420
Net Profitability		280

Plant

Yellow	
Inflows:	
Charges to Computers	2,500
Charges to Printers	1,500
Total	4,000
Outflows:	
Cost of Material	2,500
Cost of Labor	1,000
Cost of Overhead	500
Total	4,000
Flow to the CEO	0

Corporate Administration

Red	
Inflows:	
Total	-
Outflows:	
Cost of Admin.	900
Total	900
Cost to the CEO	(900)

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CEO & TRADITIONAL VIEW

CEO - Roll Up

Green	
Inflows:	
Cont. fm Computers	1,500
Cont. fm Printers	700
Total	2,200
Outflows:	
Flow from Plant	0
Cost from Corp. Admir	900
Cost of Office of CEO	500
Total	1,400
Cont. to S.H.	800

Green	
Inflows:	
Revenues from Compu	5,000
Revenues from Printer	3,000
Total	8,000
Outflows:	
Plant Costs	4,000
Admin. Expenses	3,200
Total	7,200
Cont. to S.H.	800

Computers

Green		
Inflows:		
Revenues from Sales		5,000
Total		5,000
Outflows:		
Charges from Plant		2,500
Cost of Ops		1,000
Total		3,500
Cont. to the CEO		1,500
Sharing	70%	980
Net Profitability		520

Printers

Green		
Inflows:		
Revenues from Sales		3,000
Total		3,000
Outflows:		
Charges from Plant		1,500
Cost of Ops		800
Total		2,300
Cont. to the CEO		700
Sharing	30%	420
Net Profitability		280

Plant

Yellow	
Inflows:	
Charges to Computers	2,500
Charges to Printers	1,500
Total	4,000
Outflows:	
Cost of Material	2,500
Cost of Labor	1,000
Cost of Overhead	500
Total	4,000
Flow to the CEO	0

Corporate Administration

Red	
Inflows:	
Total	-
Outflows:	
Cost of Admin.	900
Total	900
Cost to the CEO	(900)

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USEAGE OF TERMS

CEO - Roll Up
Green

Inflows:		
Cont. from Computers		1,500
Cont. from Printers		700
Total		2,200
Outflows:		
Flow from Plant		0
Cost from Corp. Admin		900
Cost of Office of CEO		500
Total		1,400
Cont. to S.H.		800

CEO - Consolidated
Green

Inflows:	
Revenues from Comp	5,000
Revenues from Printer	3,000
Total	8,000
Outflows:	
Plant Costs	4,000
Admin. Expenses	3,200
Total	7,200
Cont. to S.H.	800

Computers
Green

Inflows:		
Revenues from Sales		5,000
Total		5,000
Outflows:		
Charges from Plant		2,500
Cost of Ops		1,000
Total		3,500
Cont. to the CEO		1,500
Sharing	70%	980
Net Profitability		520

Printers
Green

Inflows:		
Revenues from Sales		3,000
Total		3,000
Outflows:		
Charges from Plant		1,500
Cost of Ops		800
Total		2,300
Cont. to the CEO		700
Sharing	30%	420
Net Profitability		280

Plant
Yellow

Inflows:	
Charges to Computers	2,500
Charges to Printers	1,500
Total	4,000
Outflows:	
Cost of Material	2,500
Cost of Labor	1,000
Cost of Overhead	500
Total	4,000
Flow to the CEO	0

Corporate Administration
Red

Inflows:	
Total	-
Outflows:	
Cost of Admin.	900
Total	900
Cost to the CEO	(900)

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Charged from Inventory of Material

Charged to Inventory of Finished goods

Not sold everything

CEO

Profit center

Inflows:	
Cont. from Computers	1300
Cont. from Printers	500
Total	1800
Outflows:	
Flow from Plant	0
Cost from Adm.	900
CEO office	500
Total	1400
Contribution to shareholders	400

Inventory of FG

Beginning inventory	0
Increase	
Increase of Computers	2500
Increase of Printers	1500
Total	4000
Decrease	
Cogs to Computers	2200
Cogs to Printers	1300
Total	3500
Ending inventory	500

Inventory of M

Beginning inventory	0
Increase	
Purchasing	2500
Total	2500
Decrease	
Charge to Plant	2500
Total	2500
Ending inventory	0

Computers

Profit center

Inflows:	
Sales	4500
Cogs	(2200)
Total	2300
Outflows:	
Operative expenses	1000
Total	1000
Contribution to CEO	1300
Sharing 70%	980
	320

Printers

Profit center

Inflows:	
Sales	2600
Cogs	(1300)
Total	1300
Outflows:	
Operative expenses	800
Total	800
Contribution to CEO	500
Sharing 30%	420
	80

Plant

Service center

Inflows:	
Charges to Inventory	2500
Charges to Inventory	1500
Total	4000
Outflows:	
Charge from material	2500
Cost of labor	1000
Other cost	500
Total	4000
Flow to CEO	0

Administration

Excellence center

Inflows:	
Total	
Outflows:	
Operative expenses	900
Total	900
Cost to CEO	(900)

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MANAGING THE PORTFOLIO

	GREEN A	GREEN B	GREEN C	RED	NET
CONTRIBUTION	3,000,000	2,000,000	1,000,000	(4,000,000)	2,000,000
PROFIT					

Which is the “better” business?

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MANAGING THE PORTFOLIO

	GREEN A	GREEN B	GREEN C	RED	NET
CONTRIBUTION	3,000,000	2,000,000	1,000,000	(4,000,000)	2,000,000
SHARING	(1,000,000)	(2,500,000)	(500,000)	4,000,000	-
PROFIT	2,000,000	(500,000)	500,000	-	2,000,000

Important points

- Contribution is not the only measure of health
- Only the internal and external profit centers “share” overhead expense
- Sharing is not precise - “roughly right” is good enough

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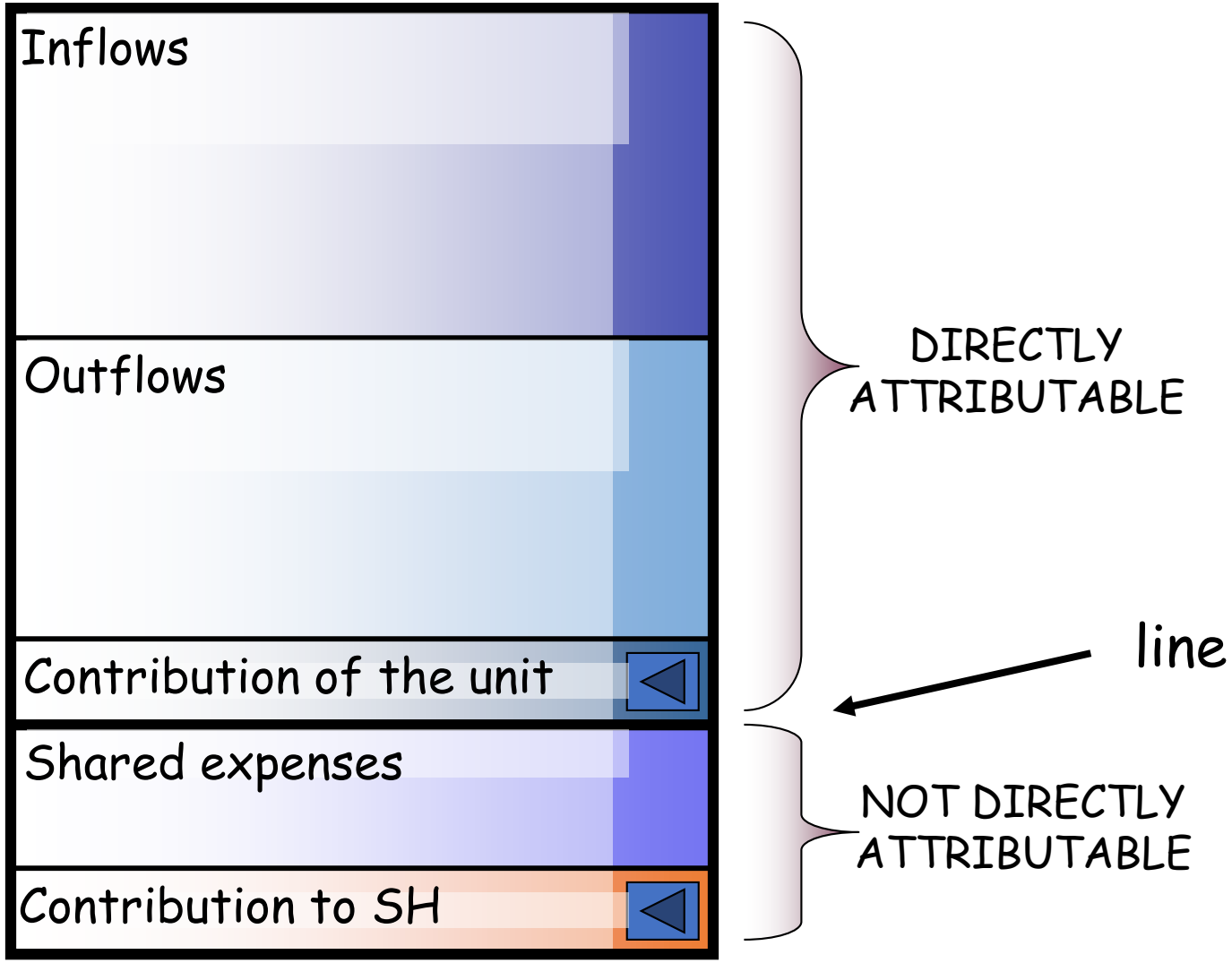
Managerial Accounting System



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Rewards

Tied to fulfilling objectives
and meeting financial targets

- Profit sharing
- Commissions
- Bonuses
- Individual rewards
- Team rewards

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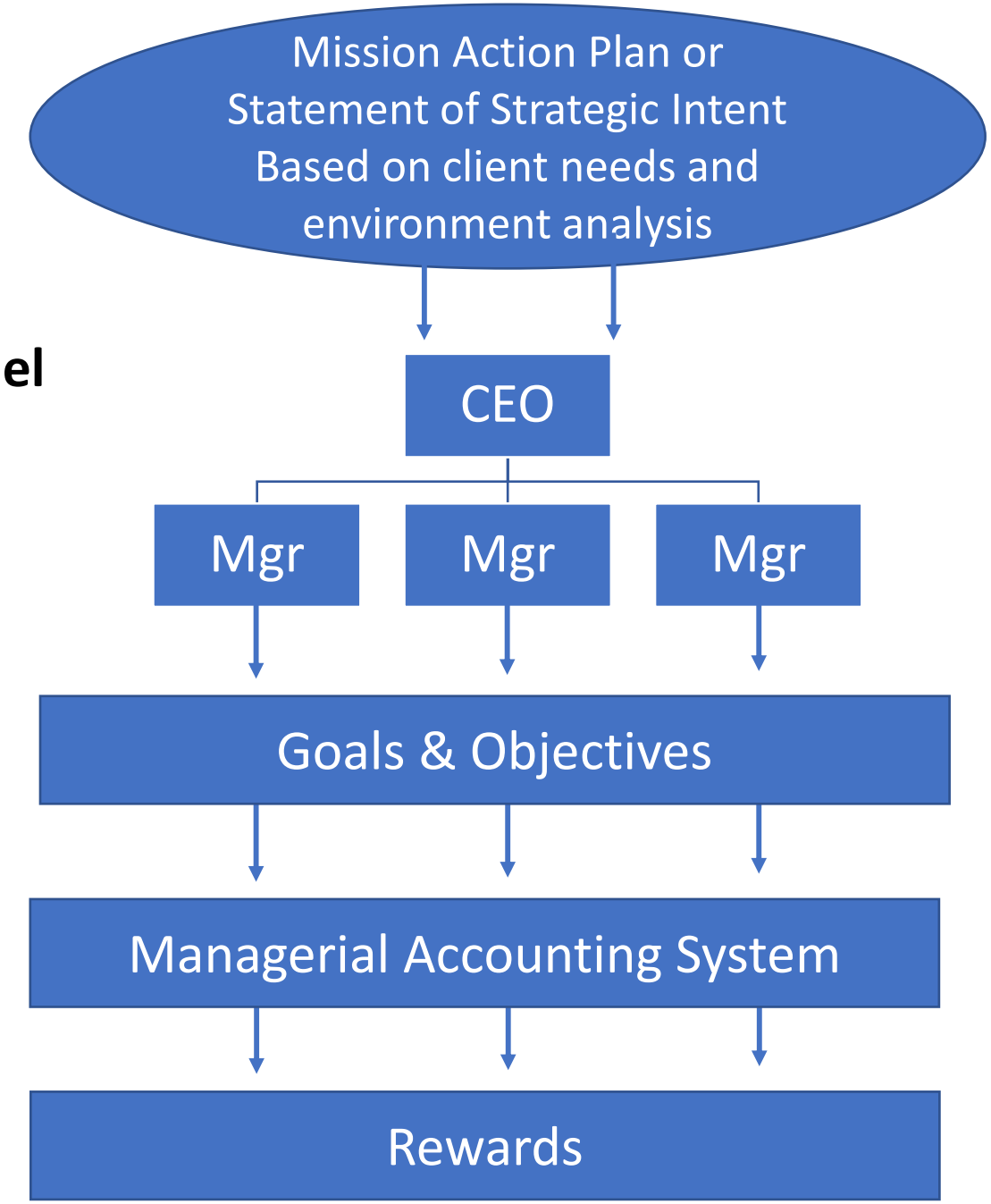
Tying the business model
All together



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Thank You!

Greg Mathers, senior associate
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